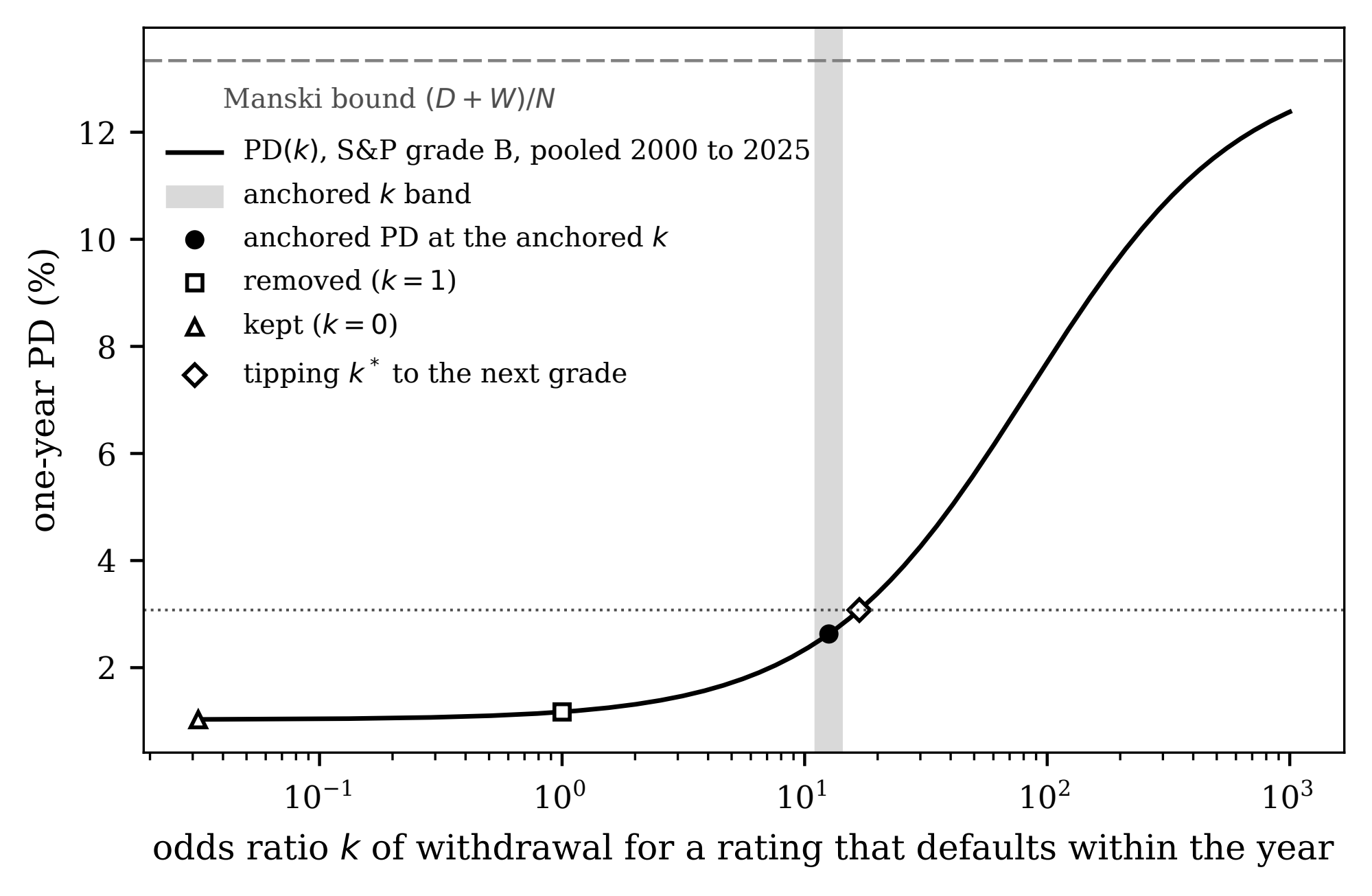
Manski bound $(D + W)/N$
PD($k$), S&P grade B, pooled 2000 to 2025
anchored $k$ band
anchored PD at the anchored $k$
removed ($k = 1$)
kept ($k = 0$)
tipping $k^*$ to the next grade
one-year PD (%)
2
4
6
8
10
12
$10^{-1}$
$10^{0}$
$10^{1}$
$10^{2}$
$10^{3}$
odds ratio $k$ of withdrawal for a rating that defaults within the year